

Authority for Personal Data
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The Minister of Finance
Attn: [Personal Data]
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Date

July 14, 2023

Our reference

z2023-02465

Your letter dated

April 17, 2023

Contact person

[Personal Data]

Your reference

2023-0000071614

Subject

Further clarification of positions regarding the legislative proposal for the action plan against money laundering

Dear [Personal Data],

On April 17, 2023, we received your letter following the meeting on March 7, 2023, with you and your colleagues from the Ministry of Finance and the Ministry of Justice and Security. This meeting took place as a follow-up to the roundtable discussion organized by the House of Representatives on January 26, 2023, regarding the legislative proposal for the Act on the Action Plan Against Money Laundering. In your letter, you request further clarification regarding this legislative proposal (which has been amended following the legislative advice from the AP) and pose several questions to the AP.

Introductory Remarks

The AP aims to formulate advice in such a way that it is clear which changes are necessary to address the concerns of the AP. In this case, however, the seriousness of the advice has evidently not been sufficiently recognized, so that further clarification could still benefit the considerations surrounding this legislative proposal. The AP also notes that the advice has indeed led to improvements in the legislative proposal and that there is appreciation for how this has been justified in the explanatory memorandum. However, as will be further explained below, this has not alleviated the main concerns of the AP.

In the structure of its advice, the AP has increasingly standardized and made more explicit the applicable legal framework where useful (see attachment).

1 Parliamentary Documents II 2022/23, 36228, no. 2-3.

2 The explanatory memorandum does refer to the characterization as 'mass surveillance character' by the AP (Parliamentary Documents II 2022/23, 36 228, no. 3, p. 31). The Council of State criticizes the legislative proposal in its advice of January 13, 2021, in unmistakable terms and qualifies the massive scale on which bank transactions are collectively monitored as 'unprecedented' (Parliamentary Documents II 2022/23, 36 228, no. 4, p. 1).

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The AP will respond substantively to your letter hereafter, emphasizing that the further explanation in this letter is in line with the previous advice and the position paper, and does not contain any fundamentally new viewpoints.

Disproportionate is unlawful

In your first four questions, you essentially request further clarification regarding the AP's assessment that the legislative proposal is unlawful and explicitly ask about the article(s) on which the AP's position is based. In this regard, the AP notes the following.

Legal context

In the advice dated March 12, 2020, it is explained why the AP believes that the legislative proposal does not comply with the principle of proportionality, including the requirements of subsidiarity and proportionality, as derived from Article 52, paragraph 1, of the Charter of Fundamental Rights of the European Union (EU Charter). Among other things, there must be a reasonable relationship between the objective of the measure, in this case, preventing and combating money laundering and terrorist financing, and the limitation of the fundamental right to the protection of personal data, as enshrined in Article 8 of the EU Charter. Article 6, paragraph 3, of the GDPR indicates that the requirements of the principle of proportionality from the Charter also apply in 'national law' if that law provides a basis for the processing of personal data within the meaning of Article 6, paragraph 1, introductory phrase and point c, GDPR (legal obligation), as is the case in this legislative proposal.

The principle of subsidiarity implies that, from the perspective of the protection of personal data, there are no less far-reaching alternatives available to achieve the objective. If this is met, the proportionality of a measure must still be assessed. For this, the effectiveness and severity of the measure are important, particularly in light of the accumulation with other existing measures and the existence of appropriate conditions and safeguards. In the event that a legislative measure does not comply with the principle of proportionality, it is, of course, in conflict with the Charter and the GDPR and thus with higher law. The establishment of legislation that proves to be non-binding due to conflict with higher law is (also) unlawful.

Objections regarding proportionality

Regarding the legislative proposal as amended after the AP's advice, the following is important for the assessment of the proportionality of the measure.

All transactions between individuals from €100 and all other B2B and B2C transactions of all customers of (for now) the five largest Dutch banks will, if the legislative proposal is adopted in its current form, be automated, structurally, continuously ('real time'), undifferentiated (non-targeted), and centrally - at a (private) entity - stored and, with a view to preventing money laundering and

3 See in this context regarding the meaning of proportionality and necessity also Kranenborg & Verhey, *The GDPR in European and Dutch perspective*, 2018, par. 7.3.3.

4 Judgment of the Court of August 1, 2022. OT against Vyriausioji tarnybinės etikos komisija (ECLI:EU:C:2022:601), O. 69 et seq.

5 See, for example, the District Court of The Hague regarding the proportionality assessment of the SyRI legislation (ECLI:NL:RBDHA:2020:865) para. 6.72.

6 These adjustments concerned, as far as relevant, the establishment of the so-called €100 limit, the limitation of (central) transaction monitoring to (the currently five largest) banks, and the pseudonymization of personal data.

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personal data.⁸ From the entirety of transaction data—which has grown significantly over time—a detailed picture can be obtained of payment behavior, which also provides an extensive view of someone's lifestyle.⁹ In the opinion of the AP, this constitutes a serious interference with the (fundamental) right to the protection of personal data. The fact that an active image is not obtained or created in all cases does not detract from this. The AP emphasizes that merely storing (whether or not at a central body)—thus also without the substantive assessment of personal data—already constitutes processing in the sense of the GDPR and represents an interference with the right to the protection of personal data.¹⁰

Additionally, attention has been paid to the existing monitoring system, which already constitutes a significant infringement on the right to the protection of personal data.¹¹ The proposed central transaction monitoring (the joint provision), the inquiry obligation, and the authority to process special and criminal personal data therefore add to this and represent a substantial expansion of the current monitoring system. This thus involves a cumulation of infringing measures, while only a small percentage of all transactions—directly or indirectly—can be related to money laundering.¹²

Moreover, banks are not required to centrally monitor transaction data and to join the joint provision. From this, it follows that this provision is not strictly necessary and that there is also no 'legal obligation' that can serve as a basis for lawful processing.¹³

⁷ These five banks have a combined market share of 90%.

⁸ This concerns 10 billion transactions per year involving 35 million clients (Parliamentary Documents II 2022/23, 36 228, no. 3, p. 24), where there is not yet any suspicion or indication of a risk related to money laundering or terrorism financing.

⁹ Including all transactions involving special personal data, such as health, ethnicity, religion, and political preference, as well as other sensitive personal data of a criminal nature. The significantly increased role and dependence—driven by technological developments and possibilities—of electronic payment transactions compared to cash transactions means that the proportionality test (also in the context of money laundering) deserves more weight and that this may yield different results over time.

¹⁰ Article 4, second paragraph, GDPR. It is of little importance whether the data subjects have experienced any disadvantage due to that interference. See, e.g., CJEU November 22, 2022, UBO register, paragraph 39 (ECLI:EU:C:2022:912) and CJEU June 21, 2022, Ligue des droits humains, paragraph 96 (ECLI:EU:C:2022:491).

¹¹ It should be noted that experience shows that a legislative measure initially set up for a specific purpose can later be used for other purposes, for example, for the implementation of sanctions legislation and tax regulations.

¹² Preferably no broader approach, but a sharper focus on anti-money laundering, Interview with Yvonne Willemsen, Head of Security Affairs at the Dutch Banking Association, Journal of Compliance, February 2020. This mentions a figure of 10 billion transactions annually, 21 million per day, 1.3 million per hour. Banks report unusual transactions to the FIU/FIE 68,000 times a year, of which 15,000 are subsequently considered 'suspicious' by the FIU/FIE.

¹³ See Article 34b, first paragraph, of the draft bill. The explanatory memorandum states that there would be 'sufficient' basis, which does not convincingly support the processing by the joint provision (page 36 and paragraph 3.2 of the memorandum).

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In the context of the effectiveness of the measures, it is also important to note that the Dutch Data Protection Authority (AP) is not clear on how effective compliance with the current Anti-Money Laundering and Anti-Terrorist Financing Act (Wwft) rules actually is. Thorough research into and about the extent of money laundering issues and terrorist financing within the context of electronic payment transactions is insufficiently available, while this is required for a robust justification of these measures.

The processing of almost all transactions of citizens does not align with the risk-based nature of the European anti-money laundering directives. Potentially every deviation from a standard pattern is, after all, investigated further solely based on the deviation. The utility and necessity of new measures are questionable due to a lack of knowledge about the effectiveness of the current system.

The above leads to the conclusion that there is no reasonable relationship between the objective of the measure and the limitation of the fundamental right to the protection of personal data - even after the implemented changes. This means that if the legislative proposal is actually enacted, certain aspects will not comply with the principle of proportionality, thus conflicting with the EU Charter and the General Data Protection Regulation (GDPR), and the relevant provisions of the law will have to remain inapplicable.

In this regard, I would like to point out that the European Data Protection Board (EDPB) has recently expressed critical views on the proposal for a European Regulation aimed at combating money laundering and terrorist financing; the so-called AML/CFT legislative package. The EDPB advises against including the data-sharing powers set forth therein in the relevant regulation due to the far-reaching infringements on the protection of personal data and the serious concerns regarding the legality, necessity (insufficient insight into effectiveness), and proportionality of the proposed measures. The EDPB explicitly refers to Articles 7, 8, and 52, paragraph 1, of the EU Charter.

Pseudonymization

The pseudonymization of personal data to which you refer does not sufficiently mitigate the AP's objection to the mass nature of the processing described above and thus the severity of the interference with the right to the protection of personal data. It is important to note that pseudonymization is a safeguard that a data controller is required to implement in the processing.

14 From the investigations of the Netherlands Court of Audit (2008, 2014, and 2021), it follows that this can be doubted:

<https://www.rekenkamer.nl/publicaties/rapporten/2008/06/03/bestrijden-witwassen-en-terrorismedinanciering>

<https://www.rekenkamer.nl/publicaties/rapporten/2014/03/06/bestrijden-witwassen-stand-van-zaken-2013>

<https://www.rekenkamer.nl/publicaties/rapporten/2022/06/08/bestrijden-witwassen-deel-3-stand-van-zaken-2021>

See also: Preferably no broader approach, but a sharper focus on anti-money laundering, Interview with Yvonne Willemsen, Head of Security at the Dutch Banking Association, Compliance Journal, February 2020.

15 EDPB letter to the European Parliament, the Council, and the European Commission on data sharing for AML/CFT purposes in light of the Council's mandate for negotiations, March 28, 2023.

16 Anti-money laundering/countering the financing of terrorism.

17 This must be viewed against the backdrop of a trend in case law where the Court of Justice of the European Union rigorously reviews legislation involving extensive processing of personal data and does not hesitate to qualify legislation as unlawful in certain cases. See Judgment of the Court (Grand Chamber) of September 20, 2022 (Federal Republic of Germany/SpaceNet AG (C-793/19), Telekom Deutschland GmbH (C-794/19)), Judgment of the Court (Grand Chamber) of November 22, 2022 (C-37/20 and C-601/20, UBO register), and Judgment of the Court (Grand Chamber) of June 21, 2022 regarding PNR (ECLI:EU:C:2022:491).

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framework of data protection by design and by default and the taking of appropriate technical and organizational measures with a view to the security of the processing of personal data.¹⁸

Pseudonymization significantly reduces the risks of re-identification in the event of data breaches for the joint entity, but does not diminish the risks for data subjects that arise from the analysis of the transaction data of the data subjects. Indeed, even pseudonymized personal data remains personal data in this context, albeit that it has been made less easily traceable. The 'mass surveillance character' that the AP points out in its advice is not diminished by this.

Suitability of the measure

Notwithstanding the above, the AP has explicitly pointed out in its advice¹⁹ that money laundering—also concerning bank transactions—is primarily an international phenomenon, while the relevant measure has a purely national character. This raises the question in advance of whether the measure is even suitable and can be effective. The explanation does not address this at all, while this is essentially the first question that arises when assessing compliance with the GDPR and Charter (see annex).

Irreparable

In questions 6 to 8, you request clarification on the qualification 'irreparable.' The AP notes the following on this matter. The term 'irreparable' was used during the oral explanation of the AP at the round table meeting of the House of Representatives when the so-called €100 limit was discussed. The AP wanted to make it clear that setting a limit of €100—a safeguard to mitigate the infringement of the protection of personal data—does not eliminate the AP's objection that the legislative proposal does not meet the requirements of the principle of proportionality. Even with this €100 limit, the AP believes that there is still a scale of processing that is so extensive that it remains disproportionate, even though supportive, mitigating measures have been taken. Against that background—and within the context of the oral proceedings—the present legislative proposal has been labeled as 'irreparable' in this respect. This does not mean, however, that the AP believes that the objection regarding proportionality (point 3 of the assessment framework in the annex) could not be addressed by any limit. However, it is not for the AP to set that limit. Moreover, even a substantially higher limit would not resolve the other stated objections.

Exclusion and risks of discrimination

Question 5 in your letter concerns the possibility of exclusion and risks of discrimination. When someone requests to become a client at a bank, the bank is required to take into account previous requests made to other Wwft institutions in its assessment. If an integrity risk is identified that previously led to the refusal of the individual in question, this carries significant weight in a new assessment. The profiling of transaction patterns in the analyses by the joint monitoring facility may have a stigmatizing or even discriminatory effect, partly due to the close connection to the processing of special personal data, such as religious or

¹⁸ Article 25 and 32 GDPR.

¹⁹ Advice of March 12, 2020 (z2019-27972), p. 13.

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beliefs, data concerning race or ethnicity, and political opinions.²⁰ The proposed measure may result in the individual—rightly or wrongly—not being accepted as a client by any bank, being unable to participate in payment transactions, and thus being excluded from an essential provision.²¹ This essentially also applies to the processing of personal data of a criminal nature. They can be stigmatizing and may stick to someone.²²

Relationship with the AP's supervisory task

Your last questions (9 and 10) concern the enforcement possibilities of the AP. During the roundtable discussion on January 26 in the House of Representatives, it was not so much a matter of the AP 'suspending' legislation. The AP does not have that authority. However, it is (not disputed) understood

that national legislation that conflicts with Union law must be set aside.

The AP has the tasks and powers listed in Articles 57 and 58 of the GDPR, including investigating and enforcing the application of the GDPR, whether or not in response to a complaint. In that context, the AP can, of course, also take enforcement action, for example, by imposing a processing ban.²³

The obligation to set aside national legislation that conflicts with Union law rests not only on the national court but on all government bodies, including administrative bodies.²⁴ This may also include the obligation to take all measures to facilitate the full effect of Union law.²⁵ Specifically regarding supervision, the Court considered in the so-called Cif case that insofar as a supervisor is tasked with ensuring compliance with Union law, the useful effect of Union law would be limited if the supervisor could not establish that a national rule is in conflict with that Union law and could not set aside this rule in the context of an investigation. It is 'of little relevance' that this cannot be blamed on the involved companies (which comply with the conflicting national law); the obligation of the Member State remains unchanged, so the national supervisor remains obliged to set aside the relevant national rule. From the perspective of legal certainty, the supervisor cannot impose sanctions on the involved companies for actions in the past that were prescribed by national legislation. Actions that

20 In the absence of investigation, the AP is also unclear whether there is automated decision-making in the sense of Article 22 GDPR in this case. This is explicitly excluded in the revised legislative proposal, but merely the 'alerts' from the joint facility may already significantly affect the individual. See, for example, the District Court of The Hague regarding the SyRI legislation (ECLI:NL:RBDHA:2020:865), para. 6.36.

21 The basic payment account provision from Article 4:71g of the Financial Supervision Act primarily cites Wwft grounds as a reason for refusal for such a facility. Accounts based on the Basic Payment Account Covenant are not comparable to a normal account due to the requirements placed on support organizations. Moreover, these two facilities do not apply to accounts for self-employed persons and sole proprietorships.

22 The processing of personal data of a criminal nature by entities outside the government must be approached with caution. See also EDPB letter to the European Parliament, the Council, and the European Commission on data sharing for AML/CFT purposes in light of the Council's mandate for negotiations, March 28, 2023.

23 Article 58, second paragraph, introductory part and under f, GDPR. This obligation can be imposed on both a data controller and a processor.

24 Judgment of the Court of June 22, 1989, case C103/88, Fratelli Costanzo (ECLI:EU:C:1989:256).

25 Judgment of the Court of July 13, 1972, Commission/Italy, 48/71. (ECLI:EU:C:1972:65).

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However, actions that take place after the decision to definitively set aside national legislation can simply be sanctioned.²⁶

The GDPR stipulates that processing requires a lawful basis. This basis can be found in national legislation, but the relevant legislation must 'serve a legitimate objective of general interest and be proportionate to the pursued legitimate aim.'²⁷ As previously outlined, it follows that the assessment framework from the Charter, as it applies to Union law that infringes fundamental rights, must also be applied to national legislation on subjects or policy areas that do not fall under Union law. To the extent that such legislation provides a basis for the processing of personal data, it concerns a subject that is indeed fully governed by Union law (and thus by the Charter). If the requirements of the principle of proportionality are not met in accordance with the Charter, the relevant provisions are therefore non-binding due to conflict with Union law and cannot, of course, serve as a lawful basis for the processing of personal data. The AP can take action against processing without a lawful basis. The

question of the binding nature of the relevant national legislation in such a case, and thus whether the AP has rightly acted against a processing that the national legislator intended, is (of course) ultimately for the court, in the highest instance the Court of Justice of the EU.

For completeness, I would like to note that if legislation is enacted that is in conflict with or appears to be in conflict with the principle of proportionality, any affected party – in this legislative proposal a substantial part of the population – can, in principle, challenge the legality of its application in a civil procedure, whether or not referring to unaddressed points from an opinion of the AP or the outcome of a complaint submitted to the AP.

Of course, it must be emphasized that the legislator must do everything possible to prevent the enactment of legislation that conflicts with higher law. This quickly leads to significant damage in terms of legal certainty and breached trust, but also, depending on the circumstances, to concrete disadvantages, for example, financially. In line with this, the GDPR imposes an obligation on the legislator to consult the supervisory authority during the drafting phase if the legislation relates to the processing of personal data.²⁸ This is intended to ensure that the processing intended by the legislator is in line with the GDPR and that the risks for the affected parties are minimized.²⁹ The opinion of the AP thus aims to protect the legislator from this danger.

The AP assumes that this letter answers the questions you raised and provides the desired clarity regarding the objections to the legislative proposal.

26 Judgment of the Court of September 9, 2003, case C-198/01, Consorzio Industrie Fiammiferi (CIF) and Autorità Garante della Concorrenza e del Mercato (ECLI:EU:C:2003:430), paragraph 48 and onwards. See also, for example, Judgment of the Court of December 4, 2018, Commissioner of An Garda Síochána (ECLI:EU:C:2018:979) and Judgment of the Court of April 5, 2022, Commissioner of An Garda Síochána (ECLI:EU:C:2022:258).

27 Article 6, paragraph 1, sub c and e, and paragraph 3, of the GDPR.

28 Article 36, paragraph 4, of the GDPR.

29 Recital 96 of the GDPR.

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A copy of this letter is sent to the House of Representatives and will be published on the AP's website.

Yours sincerely,

Authority for Personal Data,

Aleid Wolfsen

Chairman

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ANNEX

Assessment Framework

The AP assesses whether the draft concerning the processing of personal data is in accordance with the Charter of Fundamental Rights of the European Union (EU), the general legal principles of the EU, the GDPR, and other relevant law, whereby it must be sufficiently demonstrated that the principle of

proportionality is met, by:

- the draft being suitable to achieve the pursued objective of general interest or the protection of the rights and freedoms of others (1. suitability);
- the objective cannot reasonably be achieved as effectively by other means that are less intrusive to the fundamental rights of the affected parties (2. subsidiarity);
- the interference is not disproportionate to that objective, which particularly implies a weighing of the importance of the objective and the severity of the interference (3. proportionality);
- the draft is sufficiently clear and precise regarding the scope and is predictable in application (4. legal certainty);
- the draft sufficiently indicates under which circumstances and conditions personal data may be processed, thereby ensuring that the interference is limited to what is strictly necessary (5. substantive and procedural safeguards); and
- the draft is binding under national law (6. binding nature under national law).